

ISRAEL
2009

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1. Overview of the tax-benefit system

National Insurance

The National Insurance Institute of Israel (NII) is the national institution of social security, operating under the National Insurance Law passed by the Parliament in November 1953.

The main role of the NII is to ensure a means of subsistence to those Israeli residents who cannot earn a living on their own. The NII is the main instrument for reducing poverty; it contributes substantially to the reduction of economic gaps in Israel and guarantees social and economic protection to every resident and family at times of temporary or prolonged distress. The social security is provided by means of about a hundred different benefits paid by the NII to persons entitled to them under the law, as well as by means of rehabilitative and social services.

The NII collects insurance premiums, or contributions, from all residents aged 18 or over in accordance with their income (from wages or other sources) and status: employer, employee, self-employed or non-working. In addition, as of January 1995, the NII is responsible for collecting health insurance contributions under the National Health Insurance Law and distributing them to the various sick funds.

All residents of Israel are covered by the NII, and the main social security benefits paid may be divided into the following categories:

1. Benefits given due to physical (health) condition: Long-term care, Disability, Mobility, Work injury, Accident injury, Hostile action casualties, Domestic violence, Radiation, Transfusion-acquired HIV, Polio victims;
2. Benefits given due to employment condition: Income support, Unemployment; Rights of volunteers;
3. Benefits given due to family situation: Survivors, Alimony, Children, Maternity;
4. Other benefits: Old age, Prisoners of Zion and Martyrs, Righteous gentiles, Reserve service, Bankruptcy or Liquidation of companies.

This document does not refer to all the above benefits, but rather only to those relevant to the questionnaire.

General information:

1. Basic amounts:

As of January 2006, most national insurance benefits, the value of which had been frozen in the framework of the Economy Arrangement Laws for 2002 and 2003, again became adjusted. However, from this date they are calculated according to the *basic amount*, rather than according to the average wage, as previously. The basic amount is updated on the 1st of January of every year at the rate of the rise on the cost-of-living index in the previous year. The basic amount is actually composed of three different sums for the various types of benefits, and was increased by 2.7% in January 2006.

In January 2009 and 2010 the sums are:

Basic amount [1]	Basic amount [2]	Basic amount [3]
NIS 7,778 (January 2009); NIS 8,074 (January 2010)	NIS 159 (January 2009); NIS 165 (January 2010)	NIS 7,683 (January 2009); NIS 7,975 (January 2010)
Death grant Bar Mitzvah grant Long-term care benefit General disability pension Birth grant Maternity allowance Work injury benefit Accident injury allowance Volunteers' benefit	Child allowance	Other benefits Calculation of maximum income for purposes of collection of contributions

1. Average wage:

The reference in this document is to average wage according to the National Insurance Law. In 2009, the average worker in Israel earned NIS 9409 per month (annual amount: NIS 112,908)¹.

1.1. Average Worker's wage (AW)

The data are available until 2009:

Average monthly gross earning per person (35 hours and more, and 24 hours and more for teachers) employed by activities for the years 1997-2007 current prices														
Activities	Branch	Gross income												
		2009	2008	2007	2006	2005	2004	2003	2002	*2001	*2000	*1999	*1998	*1997
A	Agriculture	6,515	6,136	5,678	6,434	5,675	6,120	6,232	6,173	5,065	4,760	4,805	5,560	3,511
B	Manufacturing	9,651	10,005	9,524	8,795	8,635	8,550	8,497	8,276	8,314	7,493	7,287	6,376	6,074
C	Electricity and water supply	14,226	14,028	13,156	12,890	12,339	11,676	10,956	13,000	11,603	10,697	11,434	8,995	9,099

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2008-2009, OECD, 2010, part 4, sections 2 and 3.

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
Country chapter - Benefits and Wages (www.oecd.org/els/social/workincentives)

D	Construction (building and civil engineering projects)	6,681	6,734	6,758	5,952	6,081	6,172	6,352	6,201	6,625	6,056	5,461	5,326	4,734
E	Trade and repair of vehicles and other repairs	7,308	7,625	7,382	6,693	6,519	6,409	6,410	6,575	6,644	6,242	5,715	5,555	5,089
F	Accommodation services and restaurants	5,909	5,550	5,520	5,211	5,007	4,969	5,159	5,130	4,600	4,905	4,154	3,919	3,660
G	Transport, storage and communications	8,899	8,554	8,410	8,190	8,600	8,538	8,094	8,538	8,309	8,048	7,841	7,373	6,845
H	Banking, insurance and other financial institutions	12,431	12,196	12,624	11,997	11,616	10,657	10,768	11,013	10,460	10,611	10,314	9,775	8,722
I	Business services	11,846	11,386	11,013	10,218	10,165	9,188	9,583	10,079	9,244	9,694	8,264	7,605	7,235
J	Public administration	11,100	10,908	10,912	10,683	9,717	10,565	9,677	9,682	9,678	8,943	8,891	7,820	7,467
K	Education	7,686	7,616	7,481	6,896	7,101	6,975	6,862	7,158	7,084	7,175	7,257	6,507	6,483
L	Health, welfare and social services	9,076	9,268	8,853	8,461	8,245	8,400	8,525	8,518	8,181	7,902	7,116	7,167	7,125

M	Community, social, personal and other services	8,727	7,906	7,579	7,519	7,467	7,145	6,582	6,771	6,760	6,404	6,555	5,941	5,786
N	Services for households by domestic personnel	3,864	3,872	3,598	3,922	3,336	3,284	3,640	3,589	3,128	3,254	3,060	2,544	2,763
C-I	Electricity to business services	9,315	9,055	8,854	8,307	8,233	7,866	7,831	8,180	7,881	7,736	7,048	6,588	6,083

2. Unemployment benefits

Every Israeli resident who is an employee, at the age of 18 or over and under the *retirement age* as defined by law, is covered in unemployment insurance.

There is a monthly unemployment benefit, as well as a few grants given to special groups. There are specific conditions for receiving those grants, detailed as “particular groups” in each chapter.

The grants given are:

- Person working in low wages
- Person in vocational training.
- Daily unemployment benefit to unemployment person referred to working at “unsuitable” work

General definitions:

Work is considered **suitable work** if it meets these 3 conditions:

- A type of work at which the unemployed person worked in the 3 years preceding his unemployment, or any other work suiting the persons professional training, education level and health condition;
- The wages of the work offered are at least equal to the unemployment benefit which would be due to him, were he entitled to it;
- The work offered does not require a change in residence (according to the rules which have been determined).

Determining date: The 1st of the month in which the unemployed period began, on condition that at least 12 months have elapsed from the first of the month in which the previous unemployment period began.

2.1 *Conditions for receipt*

- Registration at a labour exchange as lacking work, and being ready and able to work at any *suitable work*, and the labour exchange has not offered such work;
- Age 20 to *retirement age*;
- Fulfilment of a minimum period of insurance.
- Person working at low wages:
 - An unemployed person.
 - Was referred to work at wages lower than unemployment benefit due to him (2010)
 - Worked at this work for at least 25 days (2010)
 - Did not use up the maximum period for payment of unemployment benefit..
- A person in vocational training

2.1.1 *Employment conditions*

- Unemployment benefit qualifying period:
 - 360 days for which insurance contribution were paid out of 540 days prior to *determining date*
 - For daily employee: 300 days of the above out of 540 days.

Under an agreement signed between the government of Israel and the National Insurance Institute in March 2009, unemployed persons who accumulated a qualifying period of 9 work months out of the 18 months that preceded the *determining date* (the first date of the month in which the unemployment period began) will be entitled to unemployment benefits for half the maximum period to which unemployed persons who accumulated 12 work months out of 18 months are entitled.

The agreement, in force as of June 1, 2009, applies to unemployed persons over the age of 25: both those who first reported to the Employment Service bureau in June 2009 and those who began to report to the Employment Service bureau before June 2009 but who did not submit a claim for unemployment benefit, or whose claim for benefit was denied due to lack of a sufficient qualifying period, and they reported to the bureau again on June 2009 and thereafter.

The earliest *determining date* for examining entitlement to unemployment benefit under the new agreement is June 1, 2009; that is, an unemployment benefit under this agreement may be first paid for June 2009 and thereafter.

2.1.2 *Contribution conditions*

Insurance contributions:

	<u>Full rate</u>	<u>Reduced rate²</u>
Employee	0.21%	0.01%
Employer	0.04%	0.03%
Government:		
For employee	0.06%	0.06%

The Ministry of Defense finances the cost of the unemployment benefit to *demobilized soldiers* released from the standing army.

In Israel young people at the age of 18 must serve in the Israeli Defense Forces (IDF). The duration of service is at least 2 years. According to the *Demobilized Soldiers Law*, soldiers released from the army, after fulfilling their army duties, are entitled to several benefits. Those benefits will usually be detailed in this document as “particular groups” at each chapter.

All income of workers, including convalescence grant, vehicle maintenance and telephone expenses, is liable for insurance contributions.

Insurance contributions are paid on income that is not higher than the ceiling that has been determined. The monthly income ceiling for contribution purposes is equal to ten (temporary order, 2010) times the *basic amount* [3] (basic amount: NIS 7,683 (2009), NIS 7,915 (2010) in January 2009 and 2010), for all insured person and employers (in January 1, 2009 – NIS 38,415 per month; in January 2010 – NIS 79,750).

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 75 workdays of qualification period. For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage. Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage.

² Reduced rates of insurance contributions are paid on the share of income that is up to 60% of the *average wage*. The regular rate is paid on the remaining share of income.

January 2009

Gross salary subject to insurance contributions (NIS)		For those below the age of 28			For those 28 years of age or older		
Monthly	Daily	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary
3,000	120	72	1,800	60%	96	2,400	80%
4,000	160	94.70	2,368	59%	126.05	3,151	80%
5,000	200	110.70	2,768	55%	146.05	3,651	73%
6,000	240	126.21	3,155	53%	165.56	4,139	69%
7,000	280	140.21	3,505	50%	183.56	4,589	66%
8,000	320	152.91	3,823	48%	199.61	4,990	62%
9,000	360	162.91	4,073	45%	211.61	5,290	59%
10,000	400	172.91	4,323	43%	223.61	5,590	56%
11,000	440	182.91	4,573	42%	235.61	5,890	54%
12,000	480	192.91	4,823	40%	247.61	6,190	52%
13,000	520	202.91	5,073	39%	259.61	6,490	50%
14,000	560	212.91	5,323	38%	271.61	6,790	49%
15,000	600	222.91	5,573	37%	283.61	7,090	47%
16,000	640	232.91	5,823	36%	295.61	7,390	46%
17,000	680	242.91	6,073	36%	307.61	7,690	45%
18,000	720	252.91	6,323	35%	317.12	7,928	44%
19,000	760	262.91	6,573	35%	317.12	7,928	42%
20,000	800	272.91	6,823	34%	317.12	7,928	40%
25,000	1,000	317.12	7,928	32%	317.12	7,928	32%

January 2010

Gross salary subject to insurance contributions (NIS)		For those below the age of 28			For those 28 years of age or older		
Monthly	Daily	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary
3,000	120	72	1,800	60%	96	2,400	80%
4,000	160	95.90	2,398	60%	124.10	3,103	78%
5,000	200	111.90	2,798	56%	147.85	3,696	74%
6,000	240	127.86	3,197	53%	167.81	4,195	70%

7,000	280	141.86	3,547	51%	185.81	4,645	66%
8,000	320	155.76	3,894	49%	203.66	5,092	64%
9,000	360	165.76	4,144	46%	215.66	5,392	60%
10,000	400	175.76	4,394	44%	227.66	5,692	57%
11,000	440	185.76	4,644	42%	239.66	5,992	54%
12,000	480	195.76	4,894	41%	251.66	6,292	52%
13,000	520	205.76	5,144	40%	263.66	6,592	51%
14,000	560	215.76	5,394	39%	275.66	6,892	49%
15,000	600	225.76	5,644	38%	287.66	7,192	48%
16,000	640	235.76	5,894	37%	299.66	7,492	47%
17,000	680	245.76	6,144	36%	311.66	7,792	46%
18,000	720	255.76	6,394	36%	320.60	8,015	45%
19,000	760	265.76	6,644	35%	320.60	8,015	42%
20,000	800	275.76	6,894	34%	320.60	8,015	40%
25,000	1,000	320.60	8,015	32%	320.60	8,015	32%

- * Maximum daily unemployment benefit – NIS 317.12 (2009); NIS 320.60 (2010) for the first 125 days of payment. As of the 126th day of payment, the maximum is NIS 211.41 (2009); 213.73 (2010). Person working at low wages: payment calculated for every day at the rate of the difference between actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit.
- A person in vocational training. An amount equivalent to the difference between the payment given him during training, and 70% of the unemployment benefit to which he would have been entitled had he been unemployed.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: Payment at the rate of the difference between the average daily income from the work and an amount equivalent to the unemployment benefit or an amount equivalent to 75% of the average daily wage which served as the basis for calculation of the unemployment benefit – if the latter difference is higher.

2.2.2 Income and earnings disregards

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due him.

2.3 Tax treatment of benefit and interaction with other benefits

The income taxes on the unemployment benefit are at the rate of the parallel income amount received from work.

National Insurance is deducted from this benefit at the minimum rate of NIS 18 per month (as of 1.1.2008).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.4 *Benefit duration (maximum)*

- 125 days for an unemployed person aged 28 to 35, without dependents (2010), in a 12-month period, including the month for which unemployment benefit was paid (*see also: particular groups*);
- 175 days for an unemployed person aged 35 to 45 with at least 3 dependents;
- 138 days for an unemployed person under 35 with at least 3 dependents and for an unemployed person aged 35 to 45 without 3 dependents;

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit.

- Person working at low wages the grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.
- A person in vocational training. Maximum period of payment under the law. For a person with less than 12 years of schooling receives benefit for up to 138 days even if his maximum period less than 138 days, up to the maximum period for payment under law.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: for the first 60 days after the beginning of his unemployment.

2.4.1 *Waiting period before benefit can be received*

Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the *determining date*.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

- **The qualifying period** for minors is 100 days for which insurance contributions were paid out of the 360 days prior to the *determining date*.
- **Benefit duration:**
 - 97 (2009) days for an unemployed person aged 25 to 28 without 3 dependents;
 - 65 (2009) days for an unemployed person under 25 without 3 dependents.
 - 138 days for an unemployed person under 35, with 3 dependents (2009 and 2010)

Grants for minor aged 15-18 who took part in vocational training during the period of his unemployment, and if no suitable work training was found for him, on condition that he worked previously and participate in the support of his family at a scope of at least 20%. **The amount is calculated by** the rate of participation in supporting parents and to wages during the qualifying period, within the limits of half the *average wage*.

2.5.2 Older workers

- **Benefit duration:** 175 days for an unemployed person aged 45 or over.

2.5.3 Others if applicable:

a. Demobilized soldier:

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the daily average wage, calculated as 60% of half the *basic amount* [3] (basic amount: NIS 7,683 in January 2009; NIS 7,975 in January 2010), but no more than 80% of the minimum wage.

Furthermore, a demobilized soldier who works at a job recognised as a *preferred/required* job (at unsuitable work) may be eligible for a **grant** at the rate of half the unemployment benefit due him for a period of 138 days.

Demobilized soldier who worked at a job recognised as a *preferred/required* job that fulfils certain conditions (detailed in the “National Insurance programs in Israel” p.35) is entitled to partial grant.

The amount is calculated by the relative part of the full grant in accordance with the number of workdays at the *preferred/required* job, out of the 150 days entitling one to the full grant. The grant is tax deductible and treated as an income by the Income Tax Authority.

Benefit duration: 70 days

- b. **Following decease:** to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] – as it was 1st January (NIS 7,778 in 2009; NIS 8,074 in 2010).

3. Unemployment assistance

There is no distinct unemployment assistance benefit in Israel.

4. Social assistance

Income support benefit: A benefit paid to a person who is not capable of providing himself by means of income from work, and who is not eligible for payment from any other source. A partial benefit (income supplement) is paid to a person whose income from work or from any other source is lower than the minimum income level for subsistence, determined by law.

4.1 Conditions for receipt

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim;
- Aged 20 and over;
- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- In most cases, registration at the labour exchange as a job seeker, or cooperation with the Occupation Centres in the experimental areas of the "Lights to Occupation" Project.

- The employment test is required for a person claiming the benefit and his spouse, who are one of the following:
 - **Unemployed** and registered with the Employment Service, from which he is requesting work under the rules determined by the Employment Service and which has not offered him to any work suited to his health and physical condition, or which referred him to vocational diagnosis and rehabilitation.
 - A person who refuses to accept work offered to him or refuses to cooperate is not entitled to benefit for two months
 - A person receiving an unemployment benefit which is lower than the amount of the income support benefit is entitled to an income supplement, provided that he also reports to the income support section of the Employment Service and is prepared to take any work that is offered to him.
- The employment test for the income support benefit applies to the claimant and his spouse. If the spouse does not satisfy the employment test, there is no entitlement to benefit. It should be noted that there are persons exempt from the employment test, such as a mother of a child up to two years old.

4.2 Calculation of benefit amount

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Following are the various benefit rates as percentage of the *basic amount* [3] – NIS 7,683 in January 2009; NIS 7,975 in January 2010

4.2.1 Calculation of gross benefit

For those under the age of 55:

Who had been entitled to regular rate in December 2002 or who began receiving benefit in January 2003: single person - 20%; single person with one child (not defined as "Single Parent" in "Single Parent Family Law") - 30%; single person with two or more children – 33.5%; couple – 27.5%; couple with one child - 30%; couple with two or more children – 33.5%.

Who had been entitled to increased rate in December 2002: single person – 22.5%; single person with one child (not defined as "Single Parent" in "Single Parent Family Law") – 33.5%; single person with two or more children – 37.5%; couple – 30%; couple with one child – 33.5%; couple with two or more children – 39%.

4.2.2 Income and earnings disregards

Maximum income for entitlement to benefit: single, NIS 2,592 in 2009, NIS 2,680 in 2010; couple, NIS 3,574 in 2009, NIS 3,694 in 2010; couple with two children, NIS 4,673 in 2009, NIS 4,836 in 2010, lone-parent with two children, NIS 5,548 (2009), NIS 5,744 (2010).

Persons 20-25 years of age who are exempt from reporting to the Employment Service and persons 25-55 years of age – who did not receive a benefit in December 2002 or received a benefit at the regular rate:

Composition of family

Maximum income from work for

	entitlement to benefit
Individual	2592
couple*	3574
Couple + 1 child	3970
Couple + 2 or more children	4673
Single person, divorcee, widow/er + 1 child	4845
Single person, divorcee, widow/er + 2 or more children	5548

Persons 55 years of age or older:

Composition of family	Maximum income from work for entitlement to benefit
Individual	NIS 3,013
couple*	NIS 4,321
Couple + 1 child	NIS 4,796
Couple + 2 or more children	NIS 5,431
Single person, divorcee, widow/er + 1 child	NIS 6,479
Single person, divorcee, widow/er + 2 or more children	NIS 7,761

The amounts of income support benefit alter in the presence of earnings **above** the specified limits. The withdrawal rate is between 60%-70%, depending on the family composition and type of benefit.

Newly entitled and persons entitled to regular rate before 2003	Previously entitled - entitled to increased rate	a person under 55
30%	32.5%	individual
30%	30.0%	individual with one child
30%	30.0%	individual with two or more children
30%	32.5%	couple
32.5%	32.5%	couple with one child
37.5%	37.5%	couple with two ore more children
40%	40.0%	widow or single child with one child
40%	40.0%	widow or single child with two or more children
30%	30.0%	one orphan from both parents or abandoned child
30%	30.0%	two orphans or two abandoned children
40%	40%	a person aged 55 or over (all family compositions)

4.3 *Tax treatment of benefit and interaction with other benefits*

Health insurance is deducted from this benefit at the minimum rate of NIS 92 (2009), NIS 95 (2010) per month.

4.4 *Benefit duration*

For an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

For those under the age of 25 who are not defined as one of the exceptions set down in the law: the benefit rate is 80% of the rates listed above in (see 4.2.1.)

4.5.2 *Older workers*

For those aged 55 and over:

The increased rate is paid: single person – 25%; single person with one child (not defined as "Single Parent" in "Single Parent Family Law") – 37.5% (less one *basic amount* [2] (basic amount: NIS 152 in January 2008), *of – child allowance*); single person with two or more children – 43.5% (less one *basic amount* [2] *of – child allowance*); couple – 37.5%; couple with one child – 43.5%; couple with two or more children – 49.5%.

Who had been entitled to increased rate in December 2002: single person – 22.5%; single person with one child (not defined as "Single Parent" in "Single Parent Family Law") – 33.5%; single person with two or more children – 37.5%; couple – 30%; couple with one child – 43.5%; couple with two or more children – 49.5%.

4.5.3 *Others if applicable*

a. New immigrants: Conditions for receipt: 12 accumulative months of residence preceding the submission of claim.

b. Widows, separated persons and single parents:

Under the age of 55: with one child – 33.5%; with two or more children – 39%.

For those aged 55 and over: with one child – 42.5% (less one *basic amount* [2] (basic amount: NIS 152 in January 2008),; with two or more children – 52.5% (less one *basic amount* [2]).

c. Rate for children: orphan or abandoned child – 25% (less one *basic amount* [2]); two children – 37.5% (less two *basic amounts* [2]). Each additional child – 10%.

d. Young persons under the age of 20 are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or an abandoned child.

- e. **The following may be entitled at the age of 18 or over:** those who lack the capacity to work due to illness, released prisoners, prisoners working at service jobs, persons in severe distress.
- f. **Following deceased: to widow** of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] NIS 7,778 (2009), NIS 8,074 (2010) as it was 1st January.
- g. **Alimony/child support payments:** for purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a wife or child not living with him. However, the deducted amount may not exceed the income support benefit due to him according to the composition of his family.
Source:

www.btl.gov.il/English%20Homepage/Benefits/Income%20Support%20Benefit/Pages/Who%20is%20eligible%20for%20income%20support%20benefit.aspx.

5. Housing benefits

The housing benefits are under the authority of the Ministry of Construction and Housing

- A. Public housing: An "inventory" of apartments that belongs to the state for the use of those in need. The public housing benefit provides the apartments with subsidized rent.

It should be noted that the waiting period for a public housing apartment may take many years before apartments becomes available. During this period there is a special assistance which provides much higher amount for "long term rental" in exchanged to the entitlement to public housing during 5 years.

- B. Assistance with paying the rent – a grant given to individuals under specific rules determined by the Ministry of Construction and Housing.

5.1 Conditions for receipt

All housing benefits are subject to a "credit system" which ranks the eligibility for the housing benefit (credit points of entitlement).

- A. Public housing: The inventory of apartments in public housing is very limited, therefore the eligibility for this benefit is for persons who are in a state of economic or functional stress:
 - An individual or a family, who do not share rights partially or completely, of an accommodation - existing or in building process.
 - Holds a certificate that he is lacking an apartment.
 - Families that:
 - Both parents accumulated at least 1400 "credit points".
 - Have 3 or more children.

- Their income is lower than the maximum amount of income support that a couple with 2 children can receive
- They utilize their full earning capacity.

B. Assistance with paying the rent:

- An individual or a family, who do not share rights partially or completely, of an accommodation - existing or in building process.
- A person who has an apartment, which is registered on his name under the following conditions:
 - The apartment is not available to him;
 - A family member is living in that apartment;
 - The family member did not and does not have any other apartment registered in his name;
 - The family member did not get any assistance for housing.

5.2 ***Calculation of benefit amount***

The benefit amount is calculated by "grade". This grade is relevant only for the mortgages and public housing benefits

The "grade" is determined by several parameters: family situation, number of children in the family, other benefits given to the family, age, income, benefits for particular groups, and living areas.

Calculation of gross benefit

- A. Public housing: provides accommodation for those who fulfill the conditions (as mentioned above).
- B. Assistance for paying the rent:

The benefit is calculated according to several parameters: those parameters determine the amount given for assistance for paying the rent.

The parameters include:

- Residence area: Those who do not live in *national preferred area* are entitled to higher amount of the benefits according to the higher rent required in these areas.
- Family situation: couples, lone parent, singles
- Age
- Number of children
- Those who received the assistance before 1.6.2002 and those who receives the benefit after 1.6.2002.

- Income test – for families that at least one parent works full time job and the total income of the family is low.
- Existence benefits, including: Earning disability benefit of at least 75% and an income support benefit
- An increased rate of 10% is given to holocaust survivors, second world war veterans or Chernobyl nuclear reactor neutralizers

Calculation of assistance with paying the rent:

Most of the assistance with paying the rent is given to those who do not live in *national preferred area* therefore the amount given is for those areas alone:

Category		2008 (NIS)	2009 (NIS)
Individuals:	With earning incapacity at a rate of 75% and over	650	763
	Elderly person receiving income supplement benefit renting an apartment and living alone	763-963.6	
	Elderly immigrants receiving income supplement benefit living with or at family members housing	661-843.6	
	Aged 55+ receiving income supplement benefit	580	
Couples with no children	With earning incapacity at a rate of 75% and over	950	1,004
	Elderly person receiving income supplement benefit living alone	1,004-1,304**	
	Elderly immigrants receiving income supplement benefit living with or at family members housing	883-1,147**	
	aged 55+receiving income supplement benefit	759	
	Under the age 55 receiving income supplement benefit	684	
Couples with children	With earning incapacity at a rate of 75% and over	1,170	
	Age 55+ receiving income supplement benefit	857	
	Under the age of 55 receiving regular income supplement benefit	774	
	Their income from wage under the income level credit*** (grade 45)	600	
	Their income from wage is under 25% above the income level credit*** (grade 46)	450	
Lone parent families	With earning incapacity at a rate of 75% and over	1,170	
	Elderly parent with one child / parent at the age of 50 or more with 2 children / parent at the age of 45 with 3 children	1,088	
	The parent is an immigrant receiving income supplement benefit at the first year of residency the amount is decreasing until it equals to that of the veterans	1,044	

	Aged 55+ receiving income supplement benefit	857
	Under the age 55 receiving income supplement benefit	774
	Their income from wage under the income level credit**(grade 47)	600

*The information above *does not* include *all* categories, as for example: families with 4 children or more receive higher assistance families that receive special income supplement benefit and as mentioned there are person entitled to additional rate of 10% above the assistance.

** According to government decision an additional assistance is given to elderly people age 70+

***Income test: the maximum wage in which the person is entitled to the benefit is as follows:

Entitled group	Grade 45 (In NIS)			Grade 46 (In NIS)			Grade 47 (In NIS)		
	Dec 2008	Oct. 2009	Feb. 2010	Dec 2008	Oct. 2009	Feb. 2010	Dec. 2008	Oct. 2009	Feb. 2010
Couple	3,804	3,970	4,106	4,577	4,962	5,132			
Couple with children	4,185	4,368	4,520	4,231	5,460	5,650			
Couple with 2 or more children	5,123	5,349	5,537	6,404	6,686	6,921			
Lone-parent family							6,643	6,935	7,180

5.2.2 *Income and earnings disregards*

- At least one spouse works full time or the family receives unemployment assistance for at least 2 years in a row
- Or:
- One spouse is disabled at a rate of 75% or over.
 - The allowance is for the whole family (not for the individual).

5.3 *Tax treatment of benefit and interaction with other benefits*

None

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None

5.4.2 *Older persons*

Housing benefit rates for the elderly person are increased:

Families and individuals aged 55+ that receives an existence benefit are entitled to higher rental assistance.

Those who receive a pension benefit with income supplement benefit are entitled to higher rental assistance.

Elderly are also entitled to shelter housing as appose to the inventory of apartment in their residency area.

5.4.3 *Others if applicable*

a. Lone parent:

- The rates of benefits given to lone-parent families are according to two types of families: families with up to 3 children and families with 4 or more children.
- The rates for lone-parent families range from NIS 536 to NIS 1,088, and are under different conditions.

b. New immigrants

There are three types of eligibility for assistance:

1. Immigrants entitled because of seniority years this benefit is given from the second year of residency and until the 5th year of residency. ; the amount of benefit declines every year (max-min):
 - For families: NIS 402- NIS 99
 - For individuals: NIS 223 - NIS 89
 - For lone parents: NIS 402- NIS 134

New immigrants that are also Lone parents are entitled for higher amount of benefit than veterans.

3. Immigrants in their first years of residency, who immigrated between 15.8.2004 to 31.12.2008 and is entitled to rental assistance, receive a 50% additional rental payment if they live in national preferred areas, as appose to their years of residency.

c. Lone soldiers – soldiers whose families do not live in Israel, are also entitled for assistance with paying the rent at the amount of NIS 402 per month while they are in-service

6. Family benefits

Child allowance:

Monthly allowance received by parents according to the number of children in the family.
For a child under the age of 18 living in Israel, not married.

Maternity - In Israel there are benefits given to parents due to the birth of a child. Those benefits are detailed under the definition of "Maternity", and will appear in this document in "text box":

- **Hospitalisation grant** – a grant given to the hospital due to hospitalisation in connection with giving birth.
- **Birth grant** – a grant given to the woman giving birth.
- **Birth allowance** – an allowance given due to the birth of 3 or more children in one birth.
- **Maternity allowance and vacation pay** – allowances given due to the maternity leave.
- **Risk pregnancy benefit** – a benefit given during the pregnancy for a woman in risk due to her pregnancy.

6.1 Conditions for receipt

Child allowance:

Insurance contributions:

	<u>Full rate</u>	<u>Reduced rate</u>
Employee	no payment	
Employer	2.08%	1.47%
Self employed	2.40%	1.39% (1.32% in 2010)
Other insured	2.64%	1.10%
Government:		
For employee	0.08%	0.08%
For self employed	0.08%	0.08%

Maternity: Government participation: the government participates in paying the birth allowance and the hospitalization grant.

	<u>Full rate</u>	<u>Reduced rate</u>
Employee	0.87%	0.04%
Employer	0.16%	0.12%
Self employed	0.82%	0.56%
Other insured	0.26%	0.11%
Government:		
For employee	0.09%	0.09%
For self employed	0.09%	0.09%

Government participation: 210%(January 2010:169%) of insurance contribution receipts,

funds study grants and payments to new immigrant children

Ministry of Defense: maternity allowance to woman soldiers – a woman soldier who gave birth during her army service is entitled to allowance, funded by the Ministry of Defense

Conditions of entitlement:

- An Israeli resident, age 18 and over.
 - An insured person with at least one child;
- Or**
- An insured person who supports a child who is not his for at least 12 months.

Maternity:

• **Hospitalisation grant, Birth grant and Child Birth allowance:**

- An insured woman or a wife of insured person, even if she gave birth outside Israel.

Or:

- Employee or self employed woman working in Israel or the wife of an employee or self employed person.
- Need to be hospitalized in connection with giving birth.
- Working in Israel for at least 6 month immediately preceding the birth even if not residents in Israel provide she gave birth in Israel.
- The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident – all as defined under the Law.

• **Maternity allowance and vacation pay:**

- An employee or self employed woman;
- Ages 18 and over;
- Working in Israel;
- A woman aged 18 or over in vocational training;
- A woman employee working abroad – under certain conditions.

- **Qualifying period:**

For maternity allowance for mother or father:

The period of payment of insurances contributions for the employee or by self-employed: for 10 out of the 14 months or for 15 out of the 22 months preceeding the *determining date*.

For maternity allowance for mother only: also for 6 out of the 14 months preceding the *determining date*.

For maternity allowance for father:

- The completion of a qualifying period up to *determining date*;
- Employer's authorization of father's maternity leave;
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.

Determining date - The day on which the insured woman ceased working while pregnant.

• **Risk pregnancy benefit:**

- A resident of Israel;
- Employee or self employed woman;
- Absence from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to *determining date* for risk pregnancy:
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

Determining date for risk pregnancy – The day on which the insured woman ceased working due to need for precautionary rest as result of risk pregnancy.

Calculation of benefit amount

6.2.1 *Calculation of gross benefit*

Child allowance:

From 2009 to 2010 inclusive, the allowance rates for the 2nd, 3rd and 4th children in families are determined on the basis of the previous *basic amount* [2] that was in force in January 2009 (NIS 159).

For a child born up to June 1, 2003:

- For each of the first 2 children – the *basic amount* [2] (basic amount: NIS 159 in January 2009, NIS 165 in January 2010),;
- For the 3rd child – 1.20 of the *previous basic amount* [2 + 60 (=NIS 251)];
- For the 4th child– 2.22 of the *previous basic amount* [2 + 93 (= NIS 446)]; *for the fifth and each additional child – 2.22 of the basic amount* [2]];

For a child born on or after June 1, 2003:

For the first and second child – the *basic amount* [2]; *for the 3rd child - the previous basic amount* [2] + 60 (= NIS 219); *for the 4th and each additional child - the previous basic amount* [2] + 93 (=NIS 252)

Maternity:

Both employees and self-employed women who work in Israel are entitled, upon giving birth, to a maternity allowance from the National Insurance Institute for the period of their maternity leave from work.

- **Hospitalisation grant:** a sum set in the regulations and updated from time to time.

- **Birth grant:** 20% of the *basic mount [1]* for one child who is the first child of the family, 9% of the *basic mount [1]* for one child who is the second child of the family, 6% of the *basic mount [1]* for one child who is the third or subsequent child of the family; 100% of the *basic mount [1]* for twins and 50% an additional 50% of the *basic mount [1]* for every additional child born in the same birth.

- **Birth allowance:**

Maternity allowance and vacation pay: 100% of the average daily income liable for insurance contributions of the entitled person in the three-month preceding the *determining date*.

For a period of 14 weeks – if insurance contribution were paid for 10 month out of 14 or for 15 month out of the 22 month preceding the *determining date*.

For a period of 7 weeks (for mother only)– if insurance contribution were paid for 6 month out of 14 or for 15 month out of the 22 month preceding the *determining date*

- **Risk pregnancy benefit:** for every day of precautionary rest due to risk pregnancy, the sum which is the lower of the following:
 1. A sum equivalent to the *basic amount [1]*, divided by 30.
 2. The insured woman's income in the 3 month preceding the day of her cessation of work, divided by 90.

6.2.2 income and earning disregards

6.3 Tax treatment of benefit and interaction with other benefits

Child allowance: is not considered as an income and therefore it is not deductible.

Maternity:

The maternity allowance, vacation pay and risk pregnancy benefits:

The taxes are at the rate of the parallel income amount received from work.

National insurance contributions are deducted from these benefits at the rate detailed in the table at the end of this document.

Health insurance contributions are deducted from these benefits at the rate of a parallel income received from work.

6.4 Treatment of particular groups

6.4.1 Young persons

None

6.4.2 Older workers

None

6.4.3 Others if applicable

- a. Increment to child allowance:** paid to large families (families with three or more children) that receive a *subsistence benefit* (income support, alimony, disability, old age, or survivors) from the NII, for the third and fourth children in the family, at the rate of 0.70 of the *basic amount* [2] (basic amount: NIS 159 in January 2009, NIS 165 in January 2010), for each child
- b. Study grant:** paid for every child between the age of 6 and 14 years in entitled families, at the beginning of the school year. The grant is at the rate of 18% of the *basic amount* [3] (basic amount: NIS 7,683 in January 2009, NIS 7,975 in January 2010), for children aged 6-11 and at the rate of 10% of the *basic amount* [3] for children aged 12-14.

The following families are entitled to a study grant:

- A lone-parent family;
- A family with 4 or more children that receives *subsistence benefit*;
- A child orphaned from both parents;
- An abandoned/orphaned child as defined in the Income Support Law;
- A child who immigrated to Israel without an insured parent;
- A woman residing in a shelter for battered woman, under certain conditions;
- A person who receives an income support benefit separately from his/her spouse;

a. Adopting parent –

Condition of entitlement:

Adoption of a child under 10 years old.

Entitlement to vacation pay: cessation of work due to adoption of a child.

Grant: equivalent to the birth grant according to the number of children under 10 years old who were adopted on the same day.

b. Childbirth allowance - A birth of 3 or more children of whom at least 3 remained alive at the end of the 30 day period immediately following the birth, on condition that the mother is entitled to maternity grant.

The allowance payment calculation – a percentage of the *basic amount* [1] (basic amount: 7,778 NIS in January 2009, 8,074 NIS in January 2010, for 20 months.

c. Maternity allowance:

For father:

- The completion of a qualifying period up to *determining date*.
- Employer's authorization of father's maternity leave
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.
- Mother's entitlement to maternity leave of at least 14 weeks from the birth and father's maternity leave of at least 21 consecutive days.

d. Special hospitalisation grants:

- A mother who gave birth to more than one child, and she or her child is hospitalized during her maternity leave for a period of more than 2 weeks: entitled to maternity allowance for a longer period – according to conditions determined by law.
- A mother, who gave birth, and she or her child is hospitalized during her maternity leave for a period of more than a week: is entitled to split up her maternity leave.

e. A special allowance and special benefit:

Due to the death of the mother while giving birth or within a year of giving birth, who was insured for maternity grant:

For every child who was born in that birth at the rate of 30% of the average wage for a period of 24 months, or if survivors' or dependents' benefit is paid for him – for a period of 12 months.

A special benefit to her widower if he stop working to take care of the child – at a rate of the injury allowance, for a period of up to 12 weeks.

7. Childcare for pre-school children

Fraction of children in child care by child's age and type of childcare available:

CHILDREN IN KINDERGARTENS (INCL. DAY-CARE CENTRES), BY OWNERSHIP, CHILD'S AGE AND POPULATION GROUP (1)

Child's age	2008/09		
	Total	Private	Municipal
		kindergartens	and public kindergartens'(2)(3)
ABSOLUTE NUMBERS GRAND TOTAL(4)	458,215	50,407	407,808
2 years	65,012	25,578	39,434
3 years	121,564	16,752	104,812
4 years	129,430	6,288	123,142
5 years	142,209	1,789	140,420

Child's age	2006/07*			2005/06			2004/05		
	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)
ABSOLUTE NUMBERS GRAND TOTAL (4)	434,497	44,149	390,348	392,646	25,910	366,736	387,914	12,465	375,449
2 years	60,227	22,939	37,338	51,026	14,153	36,873	39,183	5,984	33,199
3 years	118,280	14,205	104,075	100,869	8,528	92,341	106,030	4,506	101,524
4 years	123,072	4,955	118,117	113,410	2,778	110,632	117,051	1,596	115,455
5 years	132,868	2,050	130,818	127,341	451	126,890	125,650	379	125,271

*The sample frame in 2006/07 has been changed from 1000 to 3000.

Child's age	2003/04			2002/03			2001/02		
	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergarten s	Municipal and public Kindergarten s (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)
ABSOLUTE NUMBERS GRAND TOTAL (4)	373,211	14,351	358,861	386,737	13,408	373,329	358,163	13,345	344,818
2 years	34,977	6,991	27,986	29,567	6,777	22,790	29,849	6,718	23,131
3 years	101,438	5,144	96,294	116,343	4,595	111,748	106,846	4,677	102,169
4 years	112,432	1,769	110,664	115,332	1,593	113,739	112,454	1,599	110,855
5 years	124,364	447	123,917	125,495	443	125,052	109,014	351	108,663

Child's age	2000/01			1999/00			1998/99		
	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergarten s	Municipal and public Kindergarten s (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)
1. As of 2004/05, changes in enrolment rates have been calculated by the child's religion. 2. Incl. day care centres. 3. As of 2004/05, includes children in the Ministry of Social Affairs day care centres. 4. Excl. children aged 6 who attend kindergartens (17,995 Jews and others, thereof 19,572 children). 5. The calculation of enrolment rates did not include Arab residents of Jerusalem, because data are not available for any institutions in East Jerusalem									
ABSOLUTE NUMBERS GRAND TOTAL (4)	351,403	24,489	326,914	349,864	24,354	325,510	342,472	23,613	317,859
2 years	38,229	12,731	25,498	62,737	10,785	51,952	61,306	11,351	49,955
3 years	98,427	8,781	89,646	84,873	9,007	75,866	84,621	8,653	75,968
4 years	97,842	2,460	95,382	98,282	3,538	94,744	90,454	3,671	86,783
5 years	116,905	517	116,388	103,972	1,024	102,948	106,091	938	105,153

The age which compulsory school starts is: 5 years old – pre-school (kindergartens)

7.1 *Out-of-pocket childcare fees paid by parents*

The latest data are for 2009.

Average expenditure on education service (families with children aged 0-15 years)*

	2009		2008		2007	
	net money income		net money income		net money income	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	503	3.70%	463	3.50%	461	3.80%
Day nursery	1,145	8.34%	1,131	8.60%	1,195	9.81%
Private kinder garden	1,297	9.44%	1,052	8.00%	1,072	8.80%
Pre-compulsory kinder garden	462	3.36%	470	3.57%	470	3.86%
Compulsory kinder garden	298	2.17%	234	1.78%	256	2.10%
Elementary school	358	2.61%	340	2.59%	330	2.71%
Intermediate school	265	1.93%	226	1.72%	231	1.89%
Afternoon education	656	4.78%	593	4.51%	618	5.07%

	2006		2005		2004	
	net money income 11,587.9		net money income 11,230.5		net money income 10,409.8	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	414	3.60%	415	3.70%	394	3.80%
Day nursery	1,159	10.00%	1,088	9.69%	1,000	9.61%
Private kinder garden	1,147	9.90%	890	7.92%	828	7.96%
Pre-compulsory kinder garden	424	3.66%	369	3.29%	399	3.84%
Compulsory kinder garden	247	2.13%	225	2.00%	231	2.22%
Elementary school	257	2.22%	286	2.54%	294	2.82%
Intermediate school	219	1.89%	200	1.78%	223	2.15%
Afternoon education	542	4.68%	498	4.43%	489	4.70%
*The average expenditure is calculated for the families paying the fee in each group.						

The fee for a pre-compulsory kinder garden (ages 3-4) owned by local authorities, women's organisations (such as Wizo, Na'amat, etc.) and other authorities, is determined by the Ministry of Education. The basic fee is NIS 753 for a school day from 7:30-13:30

The reduction percentage benefit is due to the average monthly gross income per person (including child allowance) as follows:

Average gross income per person (NIS)	Paying Rank (%)
0-1,273	10
1,274-1,378	20
1,379-1,493	30
1,494-1,604	40
1,605-1,744	50
1,745-1,829	60
1,830-1,941	70
1,942-2,127	80
2,128-2,171	90
2,172+	100

The maximum income amount for receiving this benefit from the Ministry of Education is NIS 1,494 (rank 4). Local authorities can fund benefits (beyond the rates given by the Ministry of Education) at their own expense.

Participation in the pre-compulsory kinder garden tuition by the Ministry of Education also takes into account the following circumstances.

1. Area of residency – for the parents living in *preferred area A* and *B* are entitled to a full refund of the tuition.
2. Distressed neighbourhoods, children from age four, living in distressed neighbourhoods as defined by the ministerial commission for distressed neighbourhoods, are entitled to 90% refund of the tuition.

7.2 *Child-care benefits*

There are no cash benefits received by parents for children in childcare.

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

Not relevant

8. Employment-conditional benefits

None

9. Lone-parent benefits

There are no specific defined benefits for lone parents. However there are special conditions and rates for lone parents in some benefits. Those are detailed in this document in the "other groups" section of each chapter, under the "treatment of particular groups" headline.

10. Tax system

The Tax System's administrative structure

There are four **administrative authorities that are involved in determining tax policy and the policy for obligatory payments** as well as regarding their imposition, collection and enforcement:

1. Government offices
2. The National Insurance Institute
3. Local authorities
4. Other statutory bodies

Government offices

Ministry of Finance

State Revenue Administration

The State Revenue Administration is a coordinating branch within the Ministry of Finance that coordinates all issues dealing with state revenues and the tax system.

The Israeli Tax Authority

The Israeli Tax Authority is charged for collecting direct taxes, real property taxes, and indirect taxes on. The Tax Authority is also responsible for the implementation and enforcement of the importation rules.

Additional government ministries dealing with collection

There are number of government ministries that collect fees and obligatory payments, which are paid for licenses or services that they provide. These include the Ministry of Transportation, the Ministry of Justice and the Ministry of the Internal Security.

The National Insurance Institute

The National Insurance Institute collects obligatory payments by virtue of the National Insurance Law (1995) and by virtue of the National Health Insurance Law (1994). The National Insurance Institute is under the supervision of the Minister of Welfare and Social Services, who is charged with the

implementation of the National Insurance Institute Law and is authorized to enact regulations pursuant to that Law.

The Minister of Welfare and Social Services chairs the National Insurance Institute Council, whose members include fifty representatives of workers' and employers' organizations, of government ministries and of the public.

The Local Authorities

In 2007, there were 253 local authorities in Israel, of which 76 were cities, 123 were local councils and 54 were regional councils.

Local authorities in Israel collect municipal property taxes, fees and betterment charges on properties within their jurisdictions. Each Local authority has its own tax administration.

The local authorities' income amounted to NIS 16.4 billion in 2007.

Other statutory bodies

Additional statutory bodies, such as the Israel Post Office, the Ports Authority and the Airports Authority collect fees and charges.

Taxes

1. Direct taxes

Three types of direct taxes are imposed on income:

- Income tax
- Capital gains tax
- Real estate tax

2. Indirect taxes

Indirect taxes apply to both locally produced goods and services and imported goods and services. In most cases, these are consumption taxes are imposed on the final consumer.

Taxes on locally produced goods and services

There are three types of taxes on locally produced goods and services:

- Value added tax (VAT)
- Purchase tax
- Fuel excise tax

Taxes on imports

There are three types of taxes imposed on imports:

- Customs
- Purchase tax
- VAT

10.1 Income tax

Taxation of current income (personal income tax)

Personal income tax in Israel for both employed and self-employed is a progressive tax starting at the rate of 10% and increasing to a maximum rate of 46%.

Israel income tax brackets for individuals (2009):

Taxable income (ILS)	Tax rate (%)
0-55,080	10
55,080-97,920	15
97,920-147,000	23
147,000-211,200	30
211,200-454,680	34
Above 454,680	46

10.1.1 Tax allowances and credits

Allowance points are granted on the tax due which reduces the tax payable. An *allowance point* is worth NIS 2,364 per year.

10.1.1.1 Standard allowances

The main allowance points are given in the following table:

Subject	No. Of allowance points
Israeli resident	2.25
Woman	0.5
Child under the age of 18 (allowance to the mother)	1.0

10.1.1.2 Standard tax credits

10.1.2 Income tax schedule

The employer deducts tax due from his employees at source. The employer transfers the tax to the income tax on the 15th of the month for preceding period. Employers who have a large number of employees report to the Tax Authority once a month, while employers with a lesser number of employees submit their returns once every two months (for example: a small employer submits a return for January and February on March 15). Self-employed persons pay an advance to the Income Tax Authority on the 15th of the month. The advance is calculated by the Tax Authority according to the figures in annual report submitted for the previous year.

10.1.3 State and local income taxes

Municipal Taxes

There is no local tax imposed on income. Nevertheless, the local authority collects taxes according

to the area (square meters) of the premises. The amount of the taxes is influenced only by the size and area of the premises.

10.2 *Treatment of family income*

The tax unit is the individual. Credit points are given due to several family employment conditions, to one specific family member (mother/father/husband/wife).

10.3 *Social security contributions and payroll taxes*

National Insurance

Every resident of Israel aged 18 and over is obligated under law to be insured by National Insurance and to pay the national insurance contributions.

The rate of the monthly payment for a self-employed person amounts to a maximum of 16.23% on a maximum monthly income of NIS 38,415 (01.01.2009, NIS 79,750 in January 2010 (temporary order)). (In excess of this sum, there is no additional payment to National Insurance).

Health Insurance

Since 1.1.1995 every Israeli resident is insured in National Health Insurance. Therefore every resident must be registered in one of the health maintenance organization, HMO. The insured person can select the HMO as he wishes. The HMO must provide a "basket" of health services as determined by law.

According to the law every Israeli resident must pay contributions for health insurance. These contributions are collected by the NII, which distributes the monies collected to the various HMO's. Rates are calculated according to the insurer's earned and unearned income and according to his work status at a rate determined by law. A person who does not work and has no income pays the minimum payment at the amount of NIS 141 (as of 1.1.2009)

The following table indicates the rates of insurance contributions paid by the employer and the employee in 2009:

Insurance Contribution Rates
in 2009

Insurance branch	Employee						Self-employed	
	Total ³		On employee's account		On employer's account			
	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate
Old-age and Survivors	5.89	1.67	3.85	0.22	2.04	1.45	5.21	3.09
Long-term Care	0.20	0.06	0.14	0.01	0.06	0.05	0.18	0.12
General Disability	2.28	0.41	1.86	0.11	0.42	0.30	1.86	1.11
Accident Injury	0.09	0.02	0.07	0.01	0.02	0.01	0.08	0.06
Work Injury	0.59	0.41	--	--	0.59	0.41	0.68	0.39
Maternity	1.03	0.16	0.87	0.04	0.16	0.12	0.82	0.56
Children	2.08	1.47	--	--	2.08	1.47	2.40	1.39
Unemployment	0.25	0.04	0.21	0.01	0.04	0.03	--	--
Bankruptcy	0.02	0.01	--	--	0.02	0.01	--	--
Total Insurance Branches	12.43	4.25	7.00	0.40	5.43	3.85	11.23	6.72
Health	5.00	3.10	5.00	3.10	--	--	5.00	3.10
Total Contributions	17.43	7.35	12.00	3.50	5.43	3.85	16.23	9.82

¹ These rates include the share of the employee and the employer in payment of insurance contributions. In addition, the government participates in the financing of the insurance branches instead of the employer and the self-employed at a rate of 0.69%.

² On income of up to 60% the *average wage*.

10.3.1 Contributions paid by employees

The employer is required to report on all his employees and their wages and to deduct national and health insurance contributions from their wages.

Insurance branch	Reduced rate contribution (%)	Full rate contribution up to ILS 38,415 per month (%)	Effective contribution rate above ILS 38,415 per month and up to ILS 76,830 per month (%)
Total for National Insurance branches	0.4	7.0	2.92
Health	3.1	5.0	2.08
Total contributions	3.5	12.0	5.00

10.3.2 Contributions paid by employers

In addition to deducting the insurance contributions from the wages of his employees, the employer must pay insurance contributions from his own income for the various insurance branches – at amounts indicated in the different chapters.

Insurance branch	Reduced rate contribution (%)	Full rate contribution up to ILS 38,415 per month (%)	Effective contribution rate above ILS 38,415 per month and up to ILS 76,830 per month (%)

Total for National Insurance branches	3.6167	5.43	2.2625
Health	-	-	-
Total contributions	3.6167 ⁴	5.43	2.2625

10.4 Treatment of particular groups

10.4.1 Young persons

One credit point to person 16-17 years old.

10.4.2 Older workers

There are special tax brackets for incomes of the elderly.

10.4.3 Others if applicable

The following groups receive credit points above the standard credit points:

For example:

- A woman is entitled to 0.5 credit point.
- Lone-parent families are entitled to 1.0 credit point
- A new immigrant is entitled to 1-3 credit points.
- Couples living apart are entitled to participation in childcare.
- A demobilized soldier is entitled to 2.0 credit points.
- Graduates of academic studies are entitled to 0.5 credit point
- Ext.

11. Part-time work

11.1 Special benefit rules for part-time work

Part-time workers are entitled to national and health insurance benefits under the same schemes as are full-time workers. They have to fulfill the same qualifying conditions in order to be entitled to any of the above-mentioned benefits.

11.2 Special tax and social security contribution rules for part-time work

There are no special rules for part-timework.

12. Policy developments

Regarding the tax system in Israel:

In Israel tax is levied on personal basis. Israelis pay taxes on all sources of income, both in Israel and abroad. Foreign residents pay taxes only on income derived in Israel, all subject to the conventions for the avoidance of double taxation.

In 2009 Israel's corporate income tax rate is 26% (previous rate – 27%).

Individual income tax rates in 2009 are 10%-46%.

Income tax rate on stock exchange gains 15%-20%.

There are reduced tax rates for passive income abroad.

There is an exemption from capital gains for foreign investors, subject to certain conditions.

Israel announced a reduction of top marginal individual income tax rate, from the current 46% to 39% by 2016.

Reduction of corporate income tax , from 26% to 20% by 2015.

VAT rates:

until 30.6.2009 – 15.5%;

from 01.07.2009 until 31.12.2009 – 16.5%;

from 01.01.2010 – 16%.

12.1 *Policy changes introduced during 2009*

A. Tax system changes

- Since 1.1.2009 the top marginal income tax rate for individuals is 46% (previous rate – 47%). Israel's corporate tax rate is 26% (previous rate – 27%).
- The Israeli parliament approved a new "negative income tax" reform on 18.12.2007. The tax reform for employees is effective from 2007, at first covering only an area of about 20% of Israel. The area covered will increase and by 2011 the reform will cover the entire population. For self-employed people, the reform started in 2008, as a tax credit brought forward for the next years.
- As part of Israel's joining to the OECD, the penal legislation was revised – a public officer can not accept a payoff for an action related to his work for the propose of promoting a business action or giving a business advantage.
- The government made a reform of the reporting system of VAT – an "Online Reporting" – to minimize the VAT fraud and the use of fictive invoices. An "Online Reporting" – the periodical reporting will include the invoice details, and will enable invoice cross-checking.

12.2 *Future policy changes announced in 2010*

Changes during 2010

January 2010

From 1.1.2010 income tax rates for individuals are 10%-45%, compared to a top marginal tax rate of 46% in 2009.

Israel's corporate tax rate for 2010 is 25%, compared to 26% tax rate in 2009.

VAT rate decreased from 16.5% to 16% from 01.01.2010.

B. National Insurance Institute

Policy changes introduced during 2008

INCOME SUPPORT

New small businesses

One of the basic conditions of entitlement to an income support benefit (for all persons, including the self-employed) is the *employment test*; that is, the claimant must register at the local labor exchange as a job-seeker or cooperate with the local occupation center.

In recent years, various social organizations, working together with the local authorities, have been developing projects aimed at integrating persons into the labor market. Some of these projects focus on assistance in setting up small businesses.

Experience has shown that the process of setting up a small business necessitates many work hours, but yields relatively low profits.

The present procedure, under which newly self-employed persons are obligated to undergo the *employment test* when claiming income support, therefore constitutes an obstacle to the setting up of small businesses.

It was thus decided to institute a new procedure under which a person in the process of setting up a new business is exempt from the *employment test*. (However, veteran self-employed persons who encounter economic difficulties are still obligated to undergo the *employment test*.)

This procedure applies only to claimants who participate in a special small business assistance program (under the auspices of a local authority or social organization) or who have a professional guide who assists them in setting up the business. The procedure is presently operating in a two-year trial period, beginning in March 2008.

Amendment to the Welfare-to-Work Law

In July 2008, the Knesset authorized a new amendment to the experimental Welfare-to-Work (Integration of Benefit Recipients into Work) Law, under which if a person moves into a new area to which the program does not apply, and the distance between his new residence and the closest occupation center is over 60 km, he will be exempt from participating in the program, and will be referred to the employment service.

A person who moves into a new area to which the program does not apply, and the distance between his new residence and the closest occupation center is between 40 and 60 km, will be free to choose between the close occupation center or the original center.

The amendment is in effect retroactively from June 2008.

Single parent in educational institution

Under Amendment 33 to the Income Support Law, as of September 2008, a single parent may be entitled to an income support benefit even if he is a student in an educational institution.

The amendment applies to single parents who have been receiving the income support benefit for at least 16 out of the 20 months preceding the month in which they began studying at the educational institution. It does not apply to single parents who are enrolled in a program to acquire a second or third academic degree.

The income support benefit shall be paid during the period of study for up to 36 months.

Previous to the change, all students in educational institutions, if the studies last for over 12 months, were ineligible for income support benefit.

The purpose of the change is to assist single parents to acquire a suitable education, to become integrated in the labor market and to earn a wage that would release them from dependence on income support.

Pilgrimage to Mecca

The annual Hajj pilgrimage to Mecca is a Moslem religious tradition, under which Moslems are commanded to travel to Mecca at least once during their lifetimes, during the Eid al-Adha holiday.

Under a decision of the national labor court, it was determined that a person making the trip to Mecca for the Hajj for the first time in his life and for a period of up to 23 days will not be denied the income support benefit for that reason; that is, his absence from Israel due to this pilgrimage will be considered as a “justified absence” for purposes of entitlement to the benefit.

The new instructions are in effect as of November 2008.

Policy changes introduced during 2009

INCOME SUPPORT

Income from provident funds

As of March 2009, according to a recent legal opinion, money that is deposited in provident funds is not considered as income for purposes of calculating the income support benefit, and is therefore not taken into account in this calculation – on condition that this money has not been withdrawn and that the benefit claimant has not yet reached the age of 60.

The aim of the change, which is based on a 2005 amendment to the income tax regulations, is to encourage persons to keep their savings in provident funds until they retire.

Previous to the change, 65% of a person's savings in provident funds were taken into account in the calculation of the income support benefit.

Beginning of entitlement of new immigrants from Ethiopia to income support benefit

Under a recent change, new immigrants from Ethiopia who are eligible for the income support benefit begin to receive their benefit from the 13th month after their arrival in Israel, rather than from the 14th month, as previously.

In general, in order to be eligible for the income support benefit, the claimant must have been a resident of Israel for 24 consecutive months. If he is a new immigrant, he must have been a resident of Israel for at least 12 months, and he may begin receiving the income support benefit – if he meets all conditions of entitlement – in the 14th month after his arrival in the country.

In the course of the first year after their immigration, new immigrants to Israel receive a basket of services and a subsistence allowance from the Ministry of Immigrant Absorption. Following this year, they are referred to the Employment Service to search for work. Only if the Employment Service can find no work for them are they eligible for the income support benefit (from the 14th month after their immigration).

The new immigrants from Ethiopia, however, are not referred by the Ministry of Immigrant Absorption to the Employment Service, and they are therefore eligible for benefit from the 13th month of their arrival.

Extension of the Welfare-to-Work program

In December 2009, the Knesset authorized an extension of the experimental Welfare-to-Work (Integration of Benefit Recipients into Work) Law, until April 29, 2010.

The program provides the unemployed an opportunity to develop new professional skills in order to return more quickly to Israel's work force.

CHILDREN

Retroactive payment of study grant

A study grant is paid under Children Insurance to needy families, for their school-age children. Under amendments to articles 74 and 296 of the National Insurance Law, the study grant shall not be paid retroactively for a period of over 18 months since the date of submission of claim (as is generally the rule with national insurance benefits).

Previous to the change, there had been no limitation on the retroactive payment of the study grant.

This change, in effect as of March 2009, applies to claims submitted on August 2007 and thereafter.

The following two changes are incorporated in the Economy Arrangements Law for 2009 and 2010:

Gradual change in the amounts of child allowance paid for the second, third and fourth children in families

The child allowances paid for the second, third and fourth children in families are to be gradually raised from July 1, 2009 to April 2012.

In the first stage, the allowance for the third and fourth child in families will be raised: for the third child by NIS 60 and for the fourth child by NIS 93. (That is, families with 4 or more children will receive an additional NIS 153 a month). In the second stage, the allowance for the second child in families will be raised. By the end of the process, in 2012, another NIS 100 will be received by families for each of their second, third and fourth children.

Payment of child allowance in extended families (amendment to article 69 of the National Insurance Law)

In cases in which an insured man has children from a number of wives, and all his children were born after June 1, 2003, the calculation of the amount of child allowance to be paid to the family will be in accordance with the total number of the man's children, and the payment will be paid to each wife for her children.

Previous to the change, the amount of the child allowance was calculated for each wife separately, for her own children.

Study grant to battered women

Among the families entitled to a study grant for their school-age children are women who reside in a shelter for battered women, under certain conditions. Under a recent court judgment, such women who are in divorce proceedings may also be eligible for the grant.

The change is in effect regarding the 2008 school year and thereafter.

Previous to the change, only divorced women in such shelters were eligible.

UNEMPLOYMENT

An unemployed person in vocational training

Under an amendment in force as of January 1, 2009, the full unemployment benefit is paid to unemployed participants in certain defined types of vocational training courses.

As a general rule, an unemployed person participating in a vocational training course is paid an unemployment benefit at a rate of 70% of the benefit to which he would have been entitled had he not been in vocational training, from which the payments given to him in the course are deducted.

Short qualifying period for unemployment benefits

Under an agreement signed between the government of Israel and the National Insurance Institute in March 2009, unemployed persons who accumulated a qualifying period of 9 work months out of the 18 months that preceded the *determining date* (the first date of the month in which the unemployment period began) will be entitled to unemployment benefits for half the maximum period to which unemployed persons who accumulated 12 work months out of 18 months are entitled.

The agreement, in force as of June 1, 2009, applies to unemployed persons over the age of 25: both those who first reported to the Employment Service bureau in June 2009 and those who began to report to the Employment Service bureau before June 2009 but who did not submit a claim for unemployment benefit, or whose claim for benefit was denied due to lack of a sufficient qualifying period, and they reported to the bureau again on June 2009 and thereafter.

The earliest *determining date* for examining entitlement to unemployment benefit under the new agreement is June 1, 2009; that is, an unemployment benefit under this agreement may be first paid for June 2009 and thereafter.

The agreement, which came into effect after the unemployment rate rose to over 7.5% (and remains in effect only as long as this is the case), constitutes an attempt to allow many more jobless people to be eligible for state assistance.

Previous to the change, only persons who accumulated 12 out of the 18 months that preceded the *determining date* were entitled to unemployment benefits.

The following two changes are incorporated in the Economy Arrangements Law for 2009 and 2010:

Retaining rights of unemployed persons who open a business

An unemployed person who has accumulated the required qualifying period as an employee and is entitled to unemployment benefit may choose to open a business instead of receiving the benefit, and his right to receive the benefit will be retained for a period of two years, if during this period he is forced to close his business.

Encouraging unemployed persons to accept low-wage jobs

An unemployed person who works at wages lower than the unemployment benefit due to him (unsuitable work) for at least 25 days is entitled to a grant at the rate of the difference between the unemployment benefit due him and half his actual wages.

Previous to the change, only unemployed persons under 35 were eligible for this grant, and only if they were referred to the low-wage job by the Employment Service bureau. Furthermore, they were entitled to the grant only if they worked at the low-wage job for at least 75 days.

It should be noted that the rate of the grant was also changed; previously, it had been calculated as the difference between the unemployment benefit due him and his (full, rather than half) actual wages.

This change applies to unemployed persons who began working at low-wage jobs on August 1, 2009 or thereafter.

Extension of maximum period of entitlement to unemployment benefits for young unemployed

The maximum period of entitlement to unemployment benefits depends on the unemployed person's age and the number of his dependents (spouse, children).

In December 2009, an agreement extending this period for young unemployed persons without dependents came into effect, as a temporary order, as follows:

- for unemployed persons up to age 25 – for 15 days (from 50 to 65 days);
- for unemployed persons aged 25 to 28 – for 30 days (from 67 to 97 days);
- for unemployed persons aged 28 to 35 – for 25 days (from 100 to 125 days).

The change, which applies to unemployed persons who first registered at the Unemployment Service bureau from December 1, 2009 to December 31, 2010, does not apply to unemployed persons who have accumulated a short qualifying period only – see above.